

PEARSON SPECTER LITT LLP

INTERNAL CASE FILE - CONFIDENTIAL

Matter: Harrington v. Nexcore Pharmaceuticals Inc.

File No.: PSL-2024-0091

Date Opened: March 4, 2024

Lead Counsel: Harvey Specter, Esq.

Associate: Mike Ross, Esq.

BACKGROUND

Plaintiff Eleanor Harrington, a former senior research scientist at Nexcore Pharmaceuticals filed a wrongful termination complaint on February 28, 2024 in the Southern District of New York.

Ms. Harrington was employed by Nexcore from January 2018 until termination on January 15, 2024. She had access to proprietary data for the NX-440 compound.

FACTS IN DISPUTE

1. Nexcore alleges Ms. Harrington transmitted confidential files to a personal cloud storage account in violation of the Data Protection Policy.
2. Ms. Harrington denies misappropriation. She states transfers were routine backups verbally approved by supervisor Dr. Alan Morse.
3. Nexcore terminated Ms. Harrington citing Policy Section 7(b) Unauthorised External Data Transfer. No prior written warning was issued.
4. Ms. Harrington contends termination was pretextual. The real reason was her complaint dated November 12, 2023 about data falsification in NX-440 trials.

KEY DATES

January 2018: Ms. Harrington joins Nexcore as Research Scientist II

November 12, 2023: Internal whistleblower complaint filed with HR

December 2023: Unauthorised file transfers identified by IT

January 15, 2024: Termination letter issued

February 28, 2024: Complaint filed in SDNY

LEGAL ISSUES

1. Wrongful Termination and Retaliation

Whether termination within 65 days of a whistleblower complaint constitutes retaliatory discharge under Sarbanes-Oxley Act Section 806 and NY Labor Law 740.

2. Trade Secret Misappropriation

Whether file transfers constitute misappropriation under the Defend Trade Secrets Act given the alleged prior verbal approval by Dr. Morse.

3. Procedural Defects

Whether failure to issue prior written warning breaches Nexcore own policy.

RISK ASSESSMENT

Strength of retaliation claim: HIGH

Strength of trade secret claim by Nexcore: MEDIUM

Likelihood of early settlement: MEDIUM-HIGH

Prepared by: M. Ross, Associate

Reviewed by: H. Specter, Partner

Date: March 6, 2024